

the numbers. Numbers do the talking in these kinds of conversations. This is where the personal financial statements, your balance sheet and your income statement, come into play. Maybe all you need is a very simple letter from your accountant. Quite often, it works wonderfully. Know what your bottom line is, and do not agree to pay more than that. Agreeing to pay a sum that you cannot possibly pay will not get you out of the sinking sand, so be real.

If the creditor is already out of the picture, they have sold your debt to the collection agency for pennies of what it was worth. Anything you can pay the collection agency is almost pure profit for them. Most people assume that you cannot negotiate. You can, and you should. Show them your original debts; show them all the arbitrary fees that piled up because of the crazy cutthroat credit card industry; and show them your financial condition and what you can pay. It could very well be that you can afford to pay nothing. Show them that in black and white.

The debt collector will see your financial statements and read your letter, which states very plainly: *this is my net worth, consisting of these assets – my house, my cars, and my wedding rings; these liabilities: mortgage loan debt, car loan debt, credit card debt #1, credit card debt #2, student loan debt, etc.* After looking at this, he or she will be more accessible and more realistic in his demands. He or she won't keep insisting that you pay the whole \$80,000 that you owe if it is clear that all you could ever pay is \$10,000. And maybe all you can pay is nothing. If you have a negative net worth, show it.

I cannot say it enough. Money talks. If you have no money, they will shut up.

Give It a Try

Present a professional case to the debt collectors and watch their superior attitude morph into a practical one of how they best can settle and still make their dime off your debt. They want to cut and run, so help them on their way.

If you have not already done so, draft your financial statements and a simple two-sentence letter. A sample balance sheet, income statement, and letter are provided as a guide for you and are included in the Appendix.